To cite an example, Hitesh earns Rs.50,000 per month currently after paying all his taxes. He also has a student loan of Rs.20 lac. So, his post-tax income is Rs.50,000 x 12 = Rs.6,00,000. So, based on his income, the life insurance required should be between Rs.48 lac to Rs.60 lac. He also needs to add Rs.20 lac for the liability that he has. In sum, he should get coverage for an amount between Rs.68 lac to Rs.80 lac. Rs.75 lac is the amount of life insurance cover that he should aim for.

INCOME	×	MULTIPLIER	+	LIABILITY	=	INSURANCE COVERAGE
6,00,000	×	8	+	20,00,000	=	68,00,000
6,00,000	×	10	+	20,00,000	=	80,00,000